interested in learning more about systematic value strategies we encourage them to read Wes's book, *Quantitative Value*,[25] and for those interested in learning more about momentum strategies, we recommend readers review our numerous momentum-related posts offered on our web site, AlphaArchitect.com.

Summary

There is a lot of research covering many anomalies, and in Chapter 8 we introduced two—value and momentum—that are especially powerful and practically implementable. Next, we reviewed statistics relating to value, compared various popular metrics, and concluded that EBIT/TEV appears to perform the best. We also examined the momentum anomaly, including some long-term statistics, and discussed how to implement a momentum strategy. We then showed that combining value and momentum can increase risk-adjusted returns. Finally, we offer a simple outline of how to implement the overall strategy.

Notes

[1] Harvey Campbell, Yan Liu, and Heqing Zhu, "…and the Cross-Section of Expected Returns," Duke Working Paper (February 3, 2015).

[2] Eugene F. Fama and Kenneth R. French, 2012, "Size, Value, and Momentum in International Stock Returns," *Journal of Financial Economics* 105, no. 3 (2012): 457–472.

[3] Benjamin Graham and David Dodd, *Security Analysis* (New York: McGraw-Hill, 1934).

[4] Kenneth R. French, "Current Research Returns," Tuck School of Business at Dartmouth (January 2015), http://mba.tuck.dartmouth.edu/pages/faculty/ken.french/data_library.html.

[5] "Q & A: Why Use Book Value to Sort Stocks?" Fama/French Forum (June 27, 2011), http://www.dimensional.com/famafrench/questions-answers/qa-why-use-book-value-to-sort-stocks.aspx.

[6] Eugene F. Fama and Kenneth R. French, "Common Risk Factors in the Returns on Stocks and Bonds," *Journal of Financial Economics* 33 (1993):